

## PHASE 1 — BRAINSTORMING & IDEATION

# Brainstorming & Ideation

Problem Definition, Target Persona & Customer Empathy Mapping

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Ideation documentation for an AI-powered debt relief and financial recovery platform — covering the problem statement, target borrower persona, and the customer empathy map that shaped the requirements defined in later phases.

# 1. Problem Statement

Many borrowers who default on their loans or credit cards suffer from severe financial anxiety, high debt-to-income (DTI) ratios, and aggressive collection calls. They often lack the financial literacy to calculate reasonable settlement offers, or the resources to hire expensive lawyers to write professional hardship and negotiation letters. Creditors, on the other hand, are willing to write off portions of delinquent accounts, but require formal, legally compliant hardship letters that clearly state the borrower's case.

GOAL

Develop an intelligent, self-service financial recovery web platform that analyzes a user's debt load, determines their stress index, predicts realistic settlement percentages, and drafts professional, personalized settlement proposal letters using Google Gemini AI.

## 1.1 Why This Problem Is Worth Solving

- ✓ Borrowers currently have no objective way to know what settlement percentage is realistic for their situation.
- ✓ Credit counseling and settlement agencies are costly, slow, and out of reach for many delinquent borrowers.
- ✓ Creditors already accept partial settlements in practice, but require the request in a specific, formal written format.
- ✓ Existing fintech tools are built for borrowing and spending — very few address the borrower already in default.

## 1.2 Problem Framing at a Glance

| Dimension          | Observation                                                                                                          |
|--------------------|----------------------------------------------------------------------------------------------------------------------|
| Who                | Borrowers with delinquent credit cards, personal loans, or similar unsecured debt.                                   |
| What               | Lack a clear, affordable way to calculate a fair settlement and communicate it formally to a creditor.               |
| Why now            | Generative AI can produce lender-ready formal letters in seconds, at a fraction of the cost of legal or agency help. |
| Impact if unsolved | Continued collection pressure, credit score damage, and possible legal action against the borrower.                  |

## 2. Target User & Empathy Map

This map represents the thoughts, feelings, and actions of a typical target user — a borrower who recently faced an unplanned setback and fell behind on multiple credit accounts.



Figure 1. Empathy map canvas for the target borrower persona.

## 2.1 Empathy Map — Deliverable Detail

The tabular form of the empathy map, recorded alongside the visual canvas for reference during requirement writing.

| What the User...                | Deliverable Details / Observations                                                                                                                                                                                                                                                                                                   |
|---------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Thinks &amp; Feels</b>       | "I want to repay my debts, but I have no money left after buying groceries." Fear of legal action, court judgments, or bank account freezes. Shame about defaulting on credit cards and letting down family. Overwhelmed by the complex language used in lender notices. Muted hope: wishes lenders would settle for a lower amount. |
| <b>Hears</b>                    | Constant collections calls during the day. Warnings from friends about credit score damage. Legal terminology like "default notices," "writ of executions," and "charge-offs." Conflicting advice online on how to negotiate or if they should declare bankruptcy.                                                                   |
| <b>Says &amp; Does</b>          | Says: "I want to settle this account but I can only pay a portion of it." Ignores calls from unknown numbers out of anxiety. Manually tracks balances on paper or spreadsheets. Tries to draft negotiation emails but struggles with formal, legal language. Searches for affordable credit counseling or legal aid.                 |
| <b>Sees</b>                     | Stacks of overdue letters and default warnings. Declining credit score notifications on monitoring apps. High interest charges accumulating, making the balance rise daily. Clean, simple fintech apps for borrowing, but very few for debt relief.                                                                                  |
| <b>Pains (Challenges)</b>       | Extreme emotional anxiety and loss of sleep due to collection calls. Lack of funds to pay the full balance or hire credit settlement agencies. Inability to access fresh credit or lease apartments due to a damaged credit file.                                                                                                    |
| <b>Gains (Desired Outcomes)</b> | Getting an official, written settlement agreement to close accounts. Reducing the total outstanding balance to an affordable, single payoff amount. Stopping collections calls and restoring peace of mind.                                                                                                                          |

### 3. From Empathy to Platform

Each core pain surfaced in the empathy map maps to an early platform concept. These concepts were carried forward and formalized into concrete features during Phase 3's Problem-Solution Fit Matrix.



Figure 2. Early mapping from empathy-map pains to platform concepts, later refined in Phase 3.

#### 3.1 Assumptions Going Into Phase 2

- Borrowers are willing to input sensitive financial details (income, balances) in exchange for a usable settlement estimate.
- A generated letter, even without a human lawyer's review, provides meaningful value over no letter at all.
- Most target users are dealing with unsecured debt (credit cards, personal loans) rather than secured debt like mortgages.
- Generative AI output quality is sufficient for a first, borrower-facing draft — subject to the borrower's own review before mailing.

## 4. Additional Notes & Recommendations

The following points are not part of the original ideation text, but are common considerations worth tracking as the idea moves from empathy mapping into formal requirements.

### 4.1 Market & Competitive Context

- Traditional debt settlement agencies typically charge 15%–25% of the enrolled debt — a self-service tool has room to undercut this significantly.
- Credit counseling nonprofits offer related guidance but rarely generate ready-to-send, creditor-specific letters.
- Positioning matters: the platform should be framed as a drafting and calculation aid, not as a substitute for licensed legal or financial advice.

### 4.2 Early Risks to Track

| Risk                    | Note                                                                                                                                                      |
|-------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Regulatory exposure     | Suggesting settlement percentages may brush against consumer-debt or financial-advice regulations in some regions — flagged again in Phase 2 and Phase 3. |
| Sensitive data handling | Income, balances, and hardship details are sensitive by nature; users will expect visible privacy and security assurances.                                |
| Letter quality trust    | Borrowers need confidence the AI-drafted letter reads as professional and creditor-appropriate, not templated or robotic.                                 |

### 4.3 Suggested Next Steps



- **Phase 2:** Translate the empathy map and problem statement into a technical requirements and data-flow architecture document.
- **Phase 3:** Formalize each pain point into a Problem-Solution Fit Matrix and system design.
- **Phase 4:** Sequence the build into milestones and sprints.
- **Phase 5:** Implement and deliver the codebase against the features scoped from this ideation phase.